

Commercial Umbrella Liability Coverage Form

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is or is not covered.

Throughout the policy the words "you" and "your" refer to the Named Insured shown in Item 1. of the Declarations. The words "we," "us" and "our" refer to the Company providing this insurance.

The word "insured" means any person or organization qualifying as such under SECTION III - WHO IS AN INSURED.

Other words and phrases that appear in quotation marks have special meaning. Refer to SECTION VII - DEFINITIONS for their explanation.

In consideration of the payment of the premium, the Company, in reliance upon statements in the Declarations and upon the covenants, warranties, representations and mutual agreements set forth herein and in the Declarations, and subject to all the terms and conditions of this policy, hereby agree with the Insured as follows:

SECTION I - INSURING AGREEMENTS

Occurrence and Claims-Made Coverage

A. Occurrence Coverage . This insurance applies to "bodily injury," "property damage," or "personal and advertising injury", but only if:

1. The "bodily injury" or "property damage" was caused by an "occurrence" or
2. the "personal and advertising injury" was caused by an "offense";
3. The "occurrence" or "offense" took place in the "coverage territory"; and
4. The "bodily injury," "property damage," or "personal and advertising injury" occurred during the policy period of this policy.

It is agreed that:

1. With respect to your liability for "bodily injury" to your "employees" arising out of and in the course of their employment by you:
 - a. "bodily injury" by disease must be caused by or aggravated by the conditions of that employment; and
 - b. an "employee's" last day of last exposure to conditions causing or aggravating such disease must occur during the policy period of this policy.
2. Damages because of "bodily injury" include damages claimed by a person or organization for care, loss of services or death resulting at any time from the "bodily injury."
3. "Property damage" that is loss of use of tangible property that is not physically injured or destroyed shall be deemed to occur at the time of the "occurrence" that caused it.

B. Claims-Made Coverage. With regard to "bodily injury," "property damage," or "personal and advertising injury" covered by "underlying insurance" written on a claims-made basis and listed in Item 4. Underlying Insurance of the Declarations, this insurance applies only if a "claim" for damages is first made against an insured:

On or after the later of:

1. The "retroactive date" shown in the Declarations of this policy; or

2. The "retroactive date" of the applicable "underlying insurance" listed in Item 4. Underlying Insurance of the Declarations.

It is agreed that:

1. A "claim" by a person or organization seeking damages will be deemed to have been made when notice of such "claim" is received in writing by an insured or by us, whichever comes first.
2. All "claims" for damages because of "bodily injury" to the same person will be deemed to have been made at the time the first of those "claims" is made against an insured. This includes damages claimed by a person or organization for care, loss of services or death resulting at any time from "bodily injury."
3. All "claims" for damages because of "property damage" causing loss to the same person or organization as a result of an "occurrence" will be deemed to have been made at the time the first of those "claims" is made against an insured.
4. All "claims" for damages because of "personal and advertising injury" to the same person or organization as a result of an "offense" will be deemed to have been made at the time the first of those "claims" is made against any insured.

C. Known Injury or Damage Exclusion

This insurance applies only if:

1. Prior to the policy period, no insured listed in SECTION III - WHO IS AN INSURED and no "employee" authorized by you to give or receive notice of an "occurrence" or claim, knew that the "bodily injury", "property damage" or "personal and advertising injury" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew, prior to the policy period, that the "bodily injury", "property damage" or "personal and advertising injury" occurred, then any continuation, change or resumption of such "bodily injury", "property damage" or "personal and advertising injury" during or after the policy period will be deemed to have been known prior to the policy period.
2. The "bodily injury", "property damage" or "personal and advertising injury" occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed in SECTION III - WHO IS AN INSURED or any "employee" authorized by you to give or receive notice of an "occurrence" or claim, including any continuation, change or resumption of that "bodily injury", "property damage" or "personal and advertising injury" after the end of the policy period.
3. "Bodily injury", "property damage" or "personal and advertising injury" will be deemed to have been known to have occurred at the earliest time when any insured listed in SECTION III - WHO IS AN INSURED or any "employee" authorized by you to give or receive notice of an "occurrence" or claim:
 - a. Reports all, or any part, of the "bodily injury", "property damage" or "personal and advertising injury" to us or any other insurer;
 - b. Receives a written or verbal demand or claim for damages because of the "bodily injury", "property damage" or "personal and advertising injury"; or
 - c. Becomes aware by any other means that "bodily injury", "property damage" or "personal and advertising injury" has occurred or begun to occur.

Coverage A - Bodily Injury and Property Damage Liability

A. Coverage A Insuring Agreement

We will pay on behalf of the insured for that portion of "ultimate net loss" in excess of the "retained limit" or the "self-insured retention" because of "bodily injury" or "property damage" to which this insurance applies, but only

up to the Limits of Liability stated in Item 3. of the Declarations. No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under SECTION II - DEFENSE AND SUPPLEMENTARY PAYMENTS - COVERAGE A and B.

B. Coverage A Exclusions

This insurance does not apply to:

1. Expected or Intended Injury.

"Bodily injury" or "property damage" expected or intended from the standpoint of an insured. This exclusion does not apply to "bodily injury" resulting from the use of reasonable force to protect persons or property.

2. Contractual Liability.

"Bodily injury" or "property damage" for which the insured is obligated to pay damages by reason of the assumption of liability in a contract or agreement. This exclusion does not apply to liability for damages:

- a. Assumed in an "insured contract" provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement; or
- b. That the insured would have in the absence of the contract or agreement.

3. Employee Injury .

"Bodily injury" to:

- a. Any "executive officer," director or "employee" of the insured who is injured by another "executive officer," director or "employee" of the same insured in the course of such employment; or
- b. Any "executive officer," director or "employee" of the insured, or an applicant for employment by the insured, caused by employment practices of the insured. Employment practices include, but are not limited to, wrongful dismissal or wrongful termination of an "executive officer," director or "employee";
- c. Any "executive officer," director or "employee" of the insured while employed in violation of the law with the actual knowledge of the insured, or the actual knowledge of any "executive officer," director or "employee" of the insured; or
- d. The spouse, child, parent, brother or sister of that "executive officer," director, "employee" or applicant of employment as a consequence of a., b. or c. above.

This exclusion applies:

- a. Whether the insured may be liable as an employer or in another capacity; and
- b. To any duty to share damages with or repay someone else who must pay damages because of such "bodily injury."

This exclusion does not apply to liability assumed by the insured in an "insured contract."

4. Employer's Liability.

"Bodily injury" to:

- a. an "employee" of the insured arising out of and in the course of:
 - (1) employment by the insured; or
 - (2) performing duties related to the conduct of the insured's business; or
- b. the spouse, child, parent, brother or sister of that "employee" as a consequence of Paragraph a. above.

This exclusion applies:

- a. whether the insured may be liable as an employer or in any other capacity; and
- b. to any obligation to share damages with or repay someone else who must pay damages because of the injury.

This exclusion does not apply to liability assumed under an "insured contract." This exclusion does not apply to the extent that valid "underlying insurance" exists or would have existed but for the exhaustion of underlying limits for "bodily injury." However, this exception only applies to underlying Employer Liability Coverage.

1. Employee Benefit Program Liability.

"Ultimate net loss" arising out of or in connection with any claim against any insured arising out of the "administration" of the Named Insured's "employee benefit program" except to the extent coverage is provided by a policy listed in Item 4. Underlying Insurance of the Declarations and then only to the extent provided by such policy or policies.

The following additional definitions apply:

- a. "Administration" means:
 - (1) counseling employees, including their dependents and beneficiaries, with respect to the "employee benefit program",
 - (2) Handling records in connection with the "employee benefit program", or
 - (3) Effecting or terminating any employee's participation in a plan included in the "employee benefit program."
- b. "Employee benefit program" means the following types of plans:
 - (1) group life insurance, group accident or health insurance, profit sharing plans, pension plans and stock subscription plans;
 - (2) unemployment insurance, social security benefits, worker's compensation and disability benefits; and
 - (3) any other similar plan.

2. "Aircraft" and "Watercraft".

"Bodily injury" or "property damage" arising out of the ownership, maintenance, operation, use, loading, unloading or entrustment to others of an "aircraft" or "watercraft" owned or operated by, or chartered, rented or loaned to any insured, except to the extent that coverage is provided by a policy listed in Item 4. Underlying Insurance of the Declarations and then only to the extent provided by such policy or policies.

3. Racing Activities.

"Bodily injury" or "property damage" arising out of the use of "mobile equipment" or covered "auto" in, or while in practice or preparation for, a prearranged racing, speed, demolition or stunting contest or activity.

4. Damage to Property.

"Property damage" to:

- a. Property you own, rent or occupy;
- b. Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises;
- c. Property loaned to you;
- d. Personal property in your care, custody or control;
- e. That particular part of real property on which you or a contractor or subcontractor working directly or indirectly for you are performing operations, if the "property damage" is due to those operations; or
- f. That particular part of real property that must be restored, repaired or replaced because "your work" was incorrectly performed on it.

Paragraph **b.** of this exclusion does not apply if the premises are "your work" and were never occupied, rented or held for rental by you.

Paragraphs **c., d., e.,** and **f.** of this exclusion do not apply to liability assumed in a sidetrack agreement.

Paragraph **f.** of this exclusion does not apply to "property damage" included in the "products-completed operations hazard."

5. Damage to Your Product.

"Property damage" to "your product" arising out of it or any part of it.

6. Damage to Your Work.

"Property damage" to "your work" arising out of it or any part of it and included in the "products-completed operations hazard."

This exclusion does not apply if the damaged work or the work out of which the damages arises was performed for you by a subcontractor.

7. Damage to Impaired Property Or Property Not Physically Injured.

"Property damage" to "impaired property" or property that has not been physically injured or destroyed arising out of:

- a.** A defect, deficiency, inadequacy or dangerous condition in "your product" or "your work"; or
- b.** A delay or failure by you or anyone acting for you or on your behalf to perform a contract or agreement in accordance with its terms.

This exclusion does not apply to the loss of use of other property arising out of sudden and accidental physical injury to "your product" or "your work" after it has been put to its intended use.

8. Recall Of Products, Work or Impaired Property.

Damages claimed for all loss, costs or expense incurred by you or others for the loss of use, withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of "your product," "your work" or "impaired property" if such work or property is withdrawn or recalled from the market or from use by a person or organization due to a known or suspected defect, deficiency, inadequacy or dangerous condition in it.

9. Liquor Liability.

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

- a.** Causing or contributing to the intoxication of any person;
- b.** The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or
- c.** Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies only if you are in the business of manufacturing, distributing, selling, serving or furnishing alcoholic beverages.

This exclusion does not apply to the extent that coverage is provided by a policy listed in Item 4. Underlying Insurance of the Declarations and then only to the extent provided by such policy or policies.

10. "Auto".

"Bodily injury" or "property damage" arising out of the ownership, maintenance, operation, use, loading, unloading or entrustment to others of any "auto," except to the extent that coverage is provided by a policy listed in Item 4. Underlying Insurance of the Declarations and then only to the extent provided by such policy or policies.

11. Motor Carrier Act

Any duty to reimburse an insurer as required by the terms of any endorsement for Motor Carrier Policies or Insurance For Public Liability under Section 29 and 30 of the Motor Carrier Act of 1980, or any similar law.

Coverage B - Personal and Advertising Liability

A. Coverage B Insuring Agreement

1. We will pay on behalf of the insured that portion of "ultimate net loss" in excess of the "retained limit" or the "self-insured retention" because of "personal and advertising injury" to which this insurance applies, but only up to the Limits of Liability stated in Item 3. of the Declarations. No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under SECTION II - DEFENSE AND SUPPLEMENTARY PAYMENTS - COVERAGE A and B.
2. This insurance applies to "personal injury" only if caused by an "offense" committed in the "coverage territory" during the policy period, and in the conduct of your business, excluding advertising, publishing, broadcasting or telecasting done by or for you.
3. This insurance applies to "advertising injury" only if caused by an "offense" committed in the "coverage territory" during the policy period, and in the conduct of your business.

B. Coverage B Exclusions

This insurance does not apply to:

1. "Personal and advertising injury" :
 - a. Arising out of the oral or written publication of material, if done by or at the direction of the insured with knowledge of its falsity;
 - b. Arising out of the oral or written publication of material whose first publication took place before the beginning of the policy period, or if written on a claims-made basis, before the "retroactive date" shown in the Declarations page of this policy;
 - c. Arising out of the willful violation of a penal statute or ordinance committed by or with the consent of the insured; or
 - d. For which the insured has assumed liability in a contract or agreement; however, this exclusion does not apply to liability for damages that the insured would have in the absence of the contract or agreement.
 - e. To an "executive officer," director or "employee" of the insured due to that person's employment by the insured.
 - f. Caused by or arising out of the hiring or employment practices of the insured. Employment practices include, but are not limited to, wrongful dismissal or wrongful termination of an "executive officer," director or "employee."
2. "Advertising injury" arising out of :
 - a. Breach of contract, other than misappropriation of advertising ideas under an implied contract;
 - b. The failure of goods, products or services to conform with advertised quality or performance;
 - c. The wrong description of the price of goods, products or services; or

- d. An "offense" committed by an insured whose business is advertising, broadcasting, publishing or telecasting.

Coverages A and B - Policy Exclusions

This insurance does not apply to:

1. Pollution

"Ultimate net loss" arising out of or contributed in any way by:

- a. "Bodily injury" or "property damage" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":
- (1) At or from any premises, site or location that is or was at any time owned or occupied by, or rented or loaned to, any insured. However, this subparagraph does not apply to:
 - (a) "Bodily injury" if sustained within a building and caused by smoke, fumes, vapor or soot from equipment used to heat that building;
 - (b) "Bodily injury" or "property damage" for which you may be held liable, if you are a contractor and the owner or lessee of such premises, site or location has been added to your policy as an additional insured with respect to your ongoing operations performed for that additional insured at that premises, site or location and such premises, site or location is not and never was owned or occupied by, or rented or loaned to, any insured, other than that additional insured; or
 - (c) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire";
 - (2) At or from any premises, site or location which is or was at any time used by or for any insured or others for the handling, storage, disposal, processing or treatment of waste;
 - (3) Which are or were at any time transported, handled, stored, treated, disposed of, or processed as waste by or for any insured or any person or organization for whom you may be legally responsible; or
 - (4) At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the "pollutants" are brought on or to the premises, site or location in connection with such operations by such insured, contractor or subcontractor. However, this subparagraph does not apply to:
 - (a) "Bodily injury" or "property damage" arising out of the escape of fuels, lubricants or other operating fluids which are needed to perform the normal electrical, hydraulic or mechanical functions necessary for the operation of "mobile equipment" or its parts, if such fuels, lubricants or other operating fluids escape from a vehicle part designed to hold, store or receive them. This exception does not apply if the "bodily injury" or "property damage" arises out of the intentional discharge, dispersal or release of the fuels, lubricants or other operating fluids, or if such fuels, lubricants or other operating fluids are brought on or to the premises, site or location with the intent that they be discharged, dispersed or released as part of the operations being performed by such insured, contractor or subcontractor;
 - (b) "Bodily injury" or "property damage" sustained within a building and caused by the release of gases, fumes or vapors from materials brought into that building in connection with operations being performed by you or on your behalf by a contractor or subcontractor; or
 - (c) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire".
 - (5) At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the operations are to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants".
- b. Any loss, cost or expense arising out of any:
- (1) Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or

- (2) Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

However, this paragraph does not apply to liability for damages because of "property damage" that the insured would have in the absence of such request, demand, order or statutory or regulatory requirement, or such claim or "suit" by or on behalf of a governmental authority.

2. Pollution - "Automobile Hazard".

"Bodily injury" or "property damage" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":

- a. that are, or that are contained in any property that is:

- (1) being transported or towed by, handled, or handled for movement into, onto or from the covered "auto";
- (2) otherwise in the course of transit by or on behalf of the "insured"; or
- (3) being stored, disposed of, treated or processed in or upon the covered "auto".

- a. before the "pollutants" or any property in which the "pollutants" are contained are moved from the place where they are accepted by the "insured" for movement into or onto the covered "auto"; or
- b. after the "pollutants" or property in which the "pollutants" are contained are moved from the covered "auto" to the place where they are finally delivered, disposed of, or abandoned by the "insured".

Paragraph a. of this exclusion does not apply to fuel, lubricants, fluids, exhaust gases or other similar "pollutants" that are needed for or result from the normal electrical, hydraulic or mechanical functioning of the covered "auto" or its parts, if the "pollutants" escape, seep, migrate or are discharged, dispersed or released directly from an "auto" part designed by its manufacturer to hold, store, receive or dispose of such "pollutants", and

Paragraphs b. and c. of this exclusion do not apply to "bodily injury" or "property damage" that occurs away from premises owned by or rented to an "insured" with respect to "pollutants" not in or upon a covered "auto" if:

- a. the "pollutants" or any property in which the "pollutants" are contained are upset, overturned or damaged as a result of the maintenance or use of a covered "auto"; and
- b. such upset, overturn or damage directly causes the discharge, dispersal, seepage, migration, release or escape of the "pollutants".

3. Asbestos .

"Ultimate net loss" arising out of or in connection with:

- a. asbestos or asbestos-related material(s), regardless of whether used, manufactured, sold, handled, maintained, repaired, removed, disposed of, transported, distributed, installed by, or in any way connected with the insured; or
- b. the existence of asbestos in any goods, products, materials, storage devices, containers, wrappings, packaging, warehouses, buildings or other structures of any kind, or any part thereof; or
- c. any goods or products which are damaged, contaminated, or otherwise affected by asbestos or any asbestos-related material(s); or
- d. asbestos abatement activities, including clean-up, repair, or any other corrective measures which are occasioned by the existence of asbestos in any land, soil, water, or watercourses, the atmosphere and/or building(s), whether voluntarily undertaken or required by any governmental body or other entity to eliminate asbestos; or
- e. any supervision, instructions, recommendations, warnings or advice given or which should have been given, and any obligation to share damages with or repay someone else who must pay damages in connection with a., b., c., or d. above.

4. Employment-Related Practices .

"Ultimate net loss" arising out of or in connection with any:

- a. Refusal to employ;
- b. Termination of employment;
- c. Coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, discrimination or employment-related practices, policies, acts or omissions; or
- d. Consequential "bodily injury," "property damage," or "personal and advertising injury" as a result of a., b. or c. above.

This exclusion applies whether the insured may be held liable as an employer or in any other capacity, and to any obligation to share damages with or repay someone else who must pay damages because of such "bodily injury," "property damage" or "personal and advertising injury."

5. Professional Liability.

"Ultimate net loss" arising out of or contributed to in any way by "bodily injury", "property damage" or "personal and advertising injury" arising out of the rendering, or failure to render, "professional services" to or for others, except to the extent that coverage is provided by a policy listed in Item 4. Underlying Insurance of the Declarations and then only to the extent provided by such policy or policies.

6. Various Laws .

"Ultimate net loss" resulting from liability imposed on the insured under the following laws:

- a. The Employee Retirement Income Security Act (E.R.I.S.A.) of 1974 as now or hereafter amended, or any similar law, regulation or order issued pursuant to it; or
- b. Any uninsured motorists, underinsured motorists or automobile no-fault or first party "bodily injury" or "property damage" law; or
- c. Any workers compensation, unemployment compensation or disability benefits law, or any similar law.

7. War.

"Ultimate net loss" arising out of or that results from any consequence, direct or indirect, due to war (whether war be declared or not), or any act or condition incident to war. War includes invasion, act of a foreign enemy, hostilities, civil war, insurrection, rebellion, military or usurped power, strike, riot, civil commotion, revolution or acts of terrorism.

8. Nuclear .

"Ultimate net loss":

- a. With respect to which any insured under this policy is also an insured under a nuclear energy liability policy issued by Nuclear Energy Liability Insurance Association, Mutual Atomic Energy liability underwriters, Nuclear Insurance Association of Canada or any of their successors, or would be insured under any such policy but for its termination upon exhaustion of its limits of liability; or
- b. Resulting from hazardous properties of nuclear material and with respect to which:
 - (1) Any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof; or
 - (2) The insured is, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.
- c. Resulting from the "hazardous properties" of "nuclear material," if:
 - (1) The "nuclear material":
 - (a) Is at any "nuclear facility" owned by, or operated by or on behalf of, an insured; or

- (b) Has been discharged or dispersed therefrom;
- (2) The "nuclear material" is contained in "spent fuel" or "waste" at any time possessed, handled, used, processed, stored, transported or disposed of by or on behalf of an insured; or
- (3) The "bodily injury" or "property damage" arises out of the furnishing by an insured of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any "nuclear facility," but if such facility is located within the United States of America, its territories or possessions or Canada, this subparagraph applies only to such "nuclear facility" and any property thereat.

As used in this exclusion:

- a. "Hazardous properties" include radioactive, toxic or explosive properties;
- b. "Nuclear material" means "source material," "special nuclear material" or "by-product material";
- c. "Source material," "special nuclear material" and "by-product material" have the meaning given them in the Atomic Energy Act of 1954 or any law amendatory thereof;
- d. "Spent fuel" means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a "nuclear reactor";
- e. "Waste" means any waste material:
 - (1) Containing "by-product material" other than tailings or wastes produced by the extraction or concentration of uranium or thorium from any one ore processed primarily for its "source material content";
 - (2) Resulting from the operation by any person or organization of any "nuclear facility" included under the first two paragraphs of the definition of "nuclear facility";
- f. "Nuclear facility" means:
 - (1) Any "nuclear reactor";
 - (2) Any equipment or device designed or used for:
 - (a) Separating the isotopes of uranium or plutonium;
 - (b) Processing or utilizing "spent fuel"; or
 - (c) Handling, processing or packaging "waste";
 - (3) Any equipment or device used for the processing, fabricating or alloying of "special nuclear material" if at any time the total amount of such material in the custody of the insured at premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium 233 or any combination thereof, or more than 250 grams of uranium 235;
- g. "Nuclear reactor" means an apparatus designed or used to sustain nuclear fission in a self-supporting chain reaction or to contain a critical mass of fissionable material.
- h. "Property damage" includes all forms of radioactive contamination of property.

9. Punitive Damages.

Any punitive, exemplary or other damages which may be awarded as punishment for conduct whether arising from the acts of any insured or by anyone else for whom any insured is legally responsible.

10. Insured Versus Insured.

"Bodily injury", "property damage" or "personal and advertising injury" or losses, suits or actions brought by any insured against any other insured.

SECTION II - DEFENSE AND SUPPLEMENTARY PAYMENTS - COVERAGE A and B

- A. We will have the right to defend any "claim" or "suit" seeking damages for "bodily injury," "property damage," or "personal and advertising injury" to which this insurance applies, but:
 - 1. We have no duty to defend any insured against a "claim" or "suit" when the "occurrence" or "offense" is not covered by this policy.

2. When an "occurrence" or "offense" is covered by this policy and is also covered by "underlying insurance" or by any other applicable insurance, we have no duty to defend. We shall have the right to associate with the insured in the defense and control of any "claim" or "suit" that we think may involve this policy. This policy will not contribute to the cost and expenses incurred by an insurer providing underlying limits.
3. When an "occurrence" or "offense" covered by this policy would have been covered by "underlying insurance" but for the exhaustion of the applicable limits of such "underlying insurance" as a result of any "occurrence(s)" or "offense(s)" to which this policy would have been applied, we will have a duty to defend any "claims" or "suits" to which this policy applies.
4. When an "occurrence" or "offense" covered by this policy is excluded from coverage by "underlying insurance" or any other applicable insurance, we will have a duty to defend any "claims" or "suits" to which this policy applies.
5. When we have a duty to defend as described in paragraphs 3. and 4. above, we will:
 - (a) Defend any "claim" or "suit" against the insured seeking damages on account of "bodily injury," "property damage," or "personal and advertising injury" even if such "claim" or "suit" is groundless, false or fraudulent;
 - (b) Investigate, negotiate and settle any "claims" or "suits" as we deem expedient;
 - (c) Pay the following Supplementary Payments:
 - (1) Up to \$250 for the cost of bail bonds required because of accidents or traffic law violations related to an accident arising out of the use of any vehicle to which this policy applies. We do not have to furnish these bonds.
 - (2) The costs of bonds for release of attachments, but only for bond amounts within the applicable Limit of Liability. We do not have to furnish these bonds.
 - (3) All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of any "claim" or "suit," including the actual loss of earnings up to \$250 a day because of time off from work.
 - (4) All costs taxed against the insured in the "suit."
 - (5) "Pre-judgment interest" awarded against the insured on that part of the judgment covered under this policy. If we offer the applicable Limit of Liability in settlement of a "claim" or "suit," we will not pay any "pre-judgment interest" imposed or earned after the date of such offer.
 - (6) All interest earned on that part of any judgment within the Limit of Liability after entry of the judgment and before we have paid, offered to pay or deposit in court that part of any judgment that is within the applicable Limit of Liability.
- B. Payments under this section of the policy, as well as payments of all expenses we incur, will not reduce the Limit of Liability as set forth in this policy, unless such expenses of the other "underlying insurers" reduce the limits of "underlying insurance" of any policy listed in Item 4. Underlying Insurance of the Declarations.
- C. Both our right and duty to defend any existing or future "claims" or "suits" end when we have exhausted the applicable Limit of Liability by payment of judgments or settlements under Coverages A and B.
- D. If we are prevented by law from carrying out A., B., and C. above, we will pay any expense incurred with our consent.

SECTION III - WHO IS AN INSURED

- A. If the Named Insured shown in Item 1. of the Declarations is:
 1. An individual, you and your spouse are insureds, but only with respect to the conduct of a business of which you are the sole owner.
 2. A partnership or joint venture, you are an insured. Your members, your partners and their spouses are also insureds, but only with respect to the conduct of your business.

3. A "limited liability company," you are insureds. Your members, your partners and their spouses are also insureds, but only with respect to the conduct of your business. Your "executive officers" and your managers are insureds, but only with respect to their duties as your "executive officers" and managers.
4. An organization other than a partnership, joint venture or "limited liability company," you are an insured. Your "executive officers" and directors are insureds, but only with respect to their duties as your "executive officers" and directors. Your stockholders are insureds, but only with respect to their liability as your stockholders.

B. Each of the following is also an insured:

1. Your "employees," other than your "executive officers," but only for acts within the scope of their employment by you. However, no "employee" is an insured for:
 - (a) "Bodily injury" or "personal injury" to you or to a co-employee while in the course of his or her employment; or
 - (b) "Bodily injury" or "personal injury" due to his or her providing or failing to provide professional health care services; or
 - (c) "Property damage" to property owned or occupied by or rented or loaned to that "employee," any of your other "employees," or partners, or members (if you are a partnership or joint venture).
2. A person (other than your "employee") or an organization while acting as your real estate manager.
3. A person or organization having proper temporary custody of your property if you die, but only:
 - (a) With respect to liability due to the maintenance or use of that property; and
 - (b) Until your legal representative has been appointed.
4. Your legal representative if you die, but only with respect to duties as such. That representative will have all of your rights and all of your duties under this policy.
5. Any other person or organization who is insured under a policy of "underlying insurance." The coverage afforded such insureds under this policy will be no broader than the "underlying insurance" except for this policy's Limit of Liability.

C. With respect to:

1. An "auto"; or
2. "Mobile equipment" registered in your name under a motor vehicle registration law;

Any person is an insured while driving such "auto" or "mobile equipment" along a public highway with your permission.

Other persons or organizations responsible for the conduct of such person(s) are also insureds, but only for their liability due to the operation of the "auto" or registered "mobile equipment."

However, the owner or anyone else from whom you hire or borrow an "auto" is an insured only if that "auto" is a trailer connected to an "auto" owned by you.

But no person or organization is an insured under this paragraph C. for:

1. "Bodily injury" to a co-employee of the person driving the "auto" or "mobile equipment"; or
2. "Property damage" to property owned by you or the employer of a person who is an insured under this provision; or
3. An "auto" you hire or borrow from one of your partners, or "employees," or members of their households, if they are the owner of such "auto"; or
4. An "auto" being used by a person employed in the business of selling, servicing, repairing or parking "autos" unless they are your "employees"; or
5. The movement of property to or from an "auto" except you, your "employees," partners, lessees or borrowers of such auto and employees of the lessees or borrowers.

D. Any organization you newly acquire or form, other than a partnership, joint venture or "limited liability company," and over which you maintain ownership or majority interest, will be deemed to be a Named Insured. However:

1. Coverage under this provision is afforded only until the 90th day after you acquire or form the organization or the end of the policy period, whichever is earlier;
 2. Coverage is applicable only in excess of limits of the "underlying insurance" as shown in Item 4. Underlying Insurance of the Declarations. You must add such organization to your "underlying insurance" as soon as possible. We may then make adjustment of premium charges.
 3. Coverage A does not apply to "personal injury" or "property damage" that occurred before you acquired or formed the organization; and
 4. Coverage B does not apply to "personal and advertising injury" due to an "offense" committed before you acquired or formed the organization.
- E. No person or organization is an insured with respect to the conduct of a current or past partnership, joint venture or "limited liability company" that is not shown as a Named Insured in the Declarations.

SECTION IV - LIMITS OF LIABILITY

- A. With respect to Coverage A and Coverage B, the Limits of Liability shown in 3.A., 3.B., 3.C. and 3.D. of the Declarations and the rules below fix the most we will pay regardless of the number of:
1. Insureds;
 2. "Claims" made or "suits" brought;
 3. Persons or organizations making "claims" or bringing "suits"; or
 4. Coverages afforded under this policy.
- B. If there is a limit stated in item 3.B. of the Declarations for the General Aggregate Limit, that amount is the most we will pay for all damages under SECTION I - INSURING AGREEMENTS, except for:
1. Damages included in the "Products-Completed Operations Hazard"; and
 2. Damages covered in the "Underlying Insurance" to which no underlying aggregate limit applies.
- C. If there is a limit stated in item 3.C. of the Declarations for the Products-Completed Operations Aggregate Limit, that amount is the most we will pay under SECTION I - INSURING AGREEMENTS for all damages included within the "Products-Completed Operations Hazard."
- D. If there is a limit stated in item 3.D. of the Declarations for the Combined Aggregate Limit, that amount is the most we will pay under SECTION I - INSURING AGREEMENTS for all damages except damages resulting from the ownership, maintenance or use of an "auto."
- E. Subject to paragraphs B., C. and D. above, the Each Occurrence Limit stated in item 3.A. of the Declarations is the most we will pay for the total of all damages arising out of any one "occurrence."
- F. If the applicable limits of "underlying insurance" or other insurance are reduced or exhausted by payments from one or more "occurrences," the Limits of Liability of this policy will apply in excess of such reduced or exhausted limits.
- G. If the limit of any underlying insurance has been reduced or exhausted by payment of expenses, settlements or judgments arising out of "occurrences", "offenses" or "claims" which took place before the inception of or after the termination of our policy period, our policy will apply as if such payments had not been made.
- H. The Limits of Liability of this policy apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period, unless the policy period is extended after issuance of this policy for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding policy period for purposes of determining the Limits of Liability.

- I. We shall only be liable for the "ultimate net loss" in excess of:
1. The applicable limits of "underlying insurance" shown in the Declarations, for "bodily injury", "property damage" or "personal and advertising injury" covered by "underlying insurance", plus the limits of any other insurance which provides coverage for such "bodily injury", "property damage" or "personal and advertising injury."
 2. The "retained limit" or "self-insured retention" for "bodily injury", "property damage" or "personal and advertising injury" covered by this policy only. But our liability is only up to the Limits of Liability listed in the Declarations.

SECTION V - POLICY CONDITIONS

A. Appeals

If the insured or an "underlying insurer" elects not to appeal a judgment which exceeds the "retained limit," we may elect to do so. If we do so, we shall be liable, in addition to the Limit of Insurance, for all costs, taxes, expenses and interest on judgments incidental to such an appeal. We shall also be liable for all such costs, expenses and interest on appeals in connection with our right and duty to defend the insured under SECTION II - DEFENSE AND SUPPLEMENTARY PAYMENTS.

B. Financial Impairment

Bankruptcy, rehabilitation, receivership, liquidation or other financial impairment of you or an "underlying insurer" shall neither relieve nor increase any of our obligations under this policy. In the event there is diminished recovery or no recovery available to you as a result of such financial impairment of an insurer providing "underlying insurance", the coverage under this policy shall apply only in excess of the Limits of Liability stated in the "underlying insurance." Under no circumstances shall we be required to drop down and replace the Limits of Liability, or assume the obligations of a financially impaired insurer.

C. Cancellation

1. The first Named Insured shown in Item 1. of the Declarations may cancel this policy by delivering it to us or to any of our authorized agents or by sending us written notice stating when the future cancellation will take effect. Cancellation will become the date of delivery of the policy or written notice to us, or upon such future date requested by the first Named Insured, whichever is later.
2. We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:
 - (a) Ten (10) days before the effective date of cancellation if we cancel because of:
 - (1) nonpayment of premium, whether payable directly to us or payable to our agents or others under an installment payment plan, premium finance plan, extension of credit plan or any other payment plan; or
 - (2) Any bankruptcy or debtor relief proceeding brought by you or against you; or
 - (b) Thirty (30) days before the effective date of cancellation if we cancel for any other reason.
3. We will mail or deliver our notice to the first Named Insured's last mailing address known to us.
4. Notice of cancellation will state the effective date of cancellation and the policy period will end on that date.
5. If this policy is cancelled, we will send the first Named Insured any premium refund due. The refund will be pro rata. The cancellation will be effective even if we have not made or offered any refund of unearned premium.
6. If notice is mailed, proof of mailing will be sufficient proof of notice.
7. Notice of cancellation by us to the first Named Insured will be deemed notice to all insureds and payment of any return premium to such first Named Insured will be for the account of all interests.

D. Changes

This policy contains all the agreements between you and us concerning this insurance. The first Named Insured shown in Item 1. of the Declarations is authorized to make changes in the terms of this policy only upon our giving

written consent. This policy's terms can be amended or waived only by endorsement issued by us and made a part of this policy, or by our providing express written consent to the first Named Insured. We shall not be bound by any assignment of interest to any insured unless our consent to such assignment is endorsed to this policy.

E. Duties in the Event of an Occurrence, Claim or Suit

1. You and any other insured must see to it that we or our authorized representative and your underlying insurers:
 - (a) are notified as soon as possible of any "occurrence" or "offense" which may result in a "claim" involving this insurance or any "underlying insurance";
 - (b) receive notice of the "claim" or "suit" as soon as possible. Notice includes:
 - (1) how, when and where the "occurrence" or alleged "offense" took place;
 - (2) the insured's name and address;
 - (3) the names and addresses of any injured persons and witnesses;
 - (4) the nature and location of any injury or damage arising out of the "occurrence" or "offense."
 - (c) are assisted, upon our request, in the enforcement of any right against any person or organization which may be liable to you or any other insured because of "bodily injury," "property damage," or "personal and advertising injury" to which this insurance may apply; and
 - (d) receive the insured's full cooperation in the investigation, adjustment, settlement or defense of any "claim" or "suit."
2. In addition, it is a requirement of this policy that:
 - (a) the insured not make any admission of liability;
 - (b) no insured, except at their own cost, voluntarily make any payment, assume any obligation or incur any expense, other than for incidental first aid, without our consent; and
 - (c) you immediately send us copies of any demands, notices, summonses or legal papers received in connection with a "claim" or "suit" involving you or any other insured.

F. Examination of Your Books and Records

We may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.

G. Inspections and Surveys

1. We have the right but are not obligated to:
 - (a) Make inspections and surveys of your premises, operations and equipment at any time;
 - (b) Give you reports on the conditions we find; and
 - (c) Recommend changes to those conditions.
2. Any inspections, surveys, reports or recommendations we make relate only to insurability and the premiums charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. We do not warrant that the premises, operations, equipment or conditions:
 - (a) Are safe or healthful; or
 - (b) Comply with laws, regulations, codes or standards.

This condition applies not only to us, but also to any rating, advisory, rate service or similar organization that makes insurance inspections, surveys, reports or recommendations on our behalf.

H. Legal Action Against Us

1. No person or organization has a right under this policy:
 - (a) To join us as a part or otherwise bring us into a "suit" asking for damages from an insured; or
 - (b) To sue us under this policy unless all of its terms have been fully complied with.

2. A person or organization may sue us to recover on an agreed settlement or on final judgment against an insured obtained after an actual trial, but we will not be liable for damages:
 - (a) that are not payable under the terms of this policy; or
 - (b) that are in excess of the applicable Limits of Liability.

An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's representative.

I. Maintenance of Underlying Insurance

1. You must keep the "underlying insurance" described in Item 4. of the Declarations of this policy, including renewals or replacement policies not more restrictive in their terms and conditions, in full force and effect during the policy period of this policy. This also applies with respect to claims-made "underlying insurance" during any Extended Reporting Period of this policy. The limits of "underlying insurance" must be maintained without reduction other than payment of losses covered thereunder.
2. You must notify us immediately of any changes to the terms of any "underlying insurance" policies, including cancellations or replacement of such policy or policies by the "underlying insurer" or any other carrier. We may make adjustment of premium charges under this policy from the effective date of such changes in the term of any "underlying insurance" policies.

Your failure to comply with the foregoing shall not invalidate this policy; but, in the event of such failure, we shall be liable under this policy only to the extent that we would have been liable had you complied with these obligations.

J. Other Insurance

1. If other insurance is available to the insured for "ultimate net loss" we cover under this policy, our obligations under this policy are limited as follows:

This insurance is excess over any other insurance, whether such insurance is stated to be primary, excess, contributing, contingent or any other basis. This provision does not apply to such insurance specifically purchased to apply in excess of this policy's Limit of Liability.
2. Since this policy is excess over any other insurance as noted in paragraph J.1.a. above, we will pay only our share of the amount of "ultimate net loss", if any, that exceeds the sum of:
 - (a) the total amount that such other insurance would pay for the loss in the absence of this insurance; and
 - (b) the total of all deductible and self-insured amounts under this policy or any other insurance.
3. We will have no duty under Coverages A and B to defend any "claim" or "suit" that any other insurer has a duty to defend. If no other insurer defends, we may undertake to do so, but we will be entitled to the insured's rights against all other insurers.

K. Premium Audit

1. We will compute all premiums for this policy in accordance with our rules and rates.
2. The premium shown in this policy as deposit premium is an advance premium only. At the close of each audit period, we will compute the earned premium for that period. Audit premiums are due and payable upon notice to the first Named Insured. If the sum of the advance and audit premiums paid for the policy term is greater than the earned premium, we will return the excess to the first Named Insured. There will be no return premium if such audit premium is less than the Minimum Premium shown in the Declarations.
3. The first Named Insured must keep records of the information we need for premium computation, and must send us copies at such times as we may request.

L. Premiums

The first Named Insured shown in Item 1. of the Declarations is responsible for the payment of all premiums, and will be the payee for any return premiums we pay.

M. Representation

By accepting this policy, you agree that:

1. the information shown in the Declarations is accurate and complete;
2. the information is based upon representations you made to us in your application(s) for this policy;
3. we have issued this policy in reliance upon your representations; and
4. this policy is void in any case of fraud by you, or if you intentionally conceal or misrepresent any material fact(s) concerning this policy in your application(s) for this policy or concerning a claim under this policy or otherwise.

N. Separation of Insureds

Except with respect to the Limits of Liability, and any rights or duties specifically assigned to the first Named Insured, this insurance applies:

1. as if each Named Insured were the only Named Insured; and
2. separately to each insured whom a "claim" is made or a "suit" is brought.

O. Transfer of Rights of Recovery Against Others To Us

1. If the insured has rights to recover all or part of any payment we have made under this policy, those rights are transferred to us. The insured must do nothing after loss to impair those rights. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce those rights.
2. Any recoveries shall be applied first to reimburse any interests (including the insured) that have paid any amounts in excess of liability under this policy; then to reimburse us for any payment hereunder; and lastly to reimburse such interests (including the insured) as to which this policy is excess, as are entitled to the residue, if any.
3. When we assist in the pursuit of the insured's rights of recovery, resulting reasonable expenses shall be apportioned among all interests in the ratio of their respective losses for which recovery is sought.
4. If there should be no recovery as a result of proceedings instituted solely at our request, we shall bear all expenses of such proceedings.

P. Transfer of Your Rights and Duties Under This Policy

Your rights and duties under this policy may not be transferred without our written consent, except as noted below:

If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as such. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

Q. When We Do Not Renew

1. We may non-renew this policy by mailing to the first Named Insured written notice of the non-renewal at least 30 days before the expiration date of the policy.
2. If notice is mailed, proof of mailing will be sufficient proof of notice.

R. When Loss Is Payable

Our liability for any portion of "ultimate net loss" shall not apply until the insured or any "underlying insurer" is obligated to actually pay the "retained limit."

S. Your Right to Claim and Occurrence Information

1. At the Named Insured's request, we will provide the following information relating to this policy:
 - (a) A list or other record of each "occurrence" or "offense" not previously reported to any other insurer, of which we were notified in accordance with paragraph E.1. of this section. We will include date and brief description of the "occurrence" or the "offense" if that information was in the notice we received.
 - (b) A summary by policy year of amounts paid and amounts reserved stated separately under any applicable policy "aggregate limit."
2. Amounts reserved are based on our judgment. They are subject to change and should not be regarded as ultimate settlement values.
3. We compile "claim" and "occurrence" information for our own business purposes and exercise reasonable care in doing so. In providing this information to the first Named Insured, we make no representations or warranties to insureds, insurers or others to whom this information is furnished by or on behalf of any insured. Cancellation or non-renewal will be effective even if we inadvertently provide inaccurate information.

SECTION VI - EXTENDED REPORTING PERIODS

A. This Section applies to claims-made insurance under Coverages A and B.

1. We will provide one or more Extended Reporting Periods as described below, for such claims-made coverage as is afforded under Coverages A and B of this policy if:
 - (a) This policy is cancelled or not renewed; or
 - (b) We renew or replace this policy with insurance:
 - (1) Which provides claims-made coverage with a "retroactive date" later than the "retroactive date" shown in the Declarations of this policy; or
 - (2) Which does not apply to "bodily injury" or "property damage" on a claims-made basis.
2. A Basic Extended Reporting Period is automatically provided without additional charge. This period starts with the end of the policy period and lasts for:
 - (a) Five years for "claims" due to an "occurrence" reported to us not later than 60 days after the end of the policy period in accordance with paragraph E.1. of SECTION V - POLICY CONDITIONS; or
 - (b) Sixty days for all other "claims;"

but in no case will the Basic Extended Reporting Period be for a duration longer than the Basic Extended Reporting Period of the "Underlying Insurance" listed in Item 4. of the Declarations.

The Basic Extended Reporting Period does not apply to "claims" that are covered under any subsequent insurance you purchase or that would be covered but for exhaustion of the amount of insurance applicable to such "claims."

3. A Supplemental Extended Reporting Period is available, but only by an endorsement and for an additional charge. This supplemental period starts:
 - (a) At the end of the Basic Extended Reporting Period for "claims" due to an "occurrence" reported to us not later than 60 days after the end of the policy period in accordance with paragraph E.1. of SECTION V - POLICY CONDITIONS; or
 - (b) Sixty days after the end of the policy period for all other "claims."

but in no case will the Supplemental Extended Reporting Period be for a duration longer than the Supplemental Extended Reporting Period of the "Underlying Insurance" listed in Item 4. of the Declarations.

You must give us a written request for the endorsement within 60 days after the end of the policy period.

The Supplemental Extended Reporting Period will not go into effect unless you pay the additional premium promptly when due and:

- (a) Maintain any "underlying insurance" in full force and effect as specified in Policy Condition I., Maintenance of Underlying Insurance of this policy; or
- (b) Purchase a Supplemental Extended Reporting Period endorsement on any "underlying insurance" written on a claims-made basis.

We will determine the additional premium in accordance with our rules and rates. In doing so, we may take into account the following:

- (a) The exposures insured;
- (b) Previous types and amounts of insurance;
- (c) Limits of Liability available under this policy for future payment of damages; and
- (d) Other related factors.

The additional premium will not exceed 200% of the annual premium of this policy.

The endorsement shall set forth the terms, not inconsistent with this section, applicable to Supplemental Extended Reporting Period, including a provision to the effect that the insurance afforded for "claims" first received during such period is excess over any other insurance available under policies in force after the Supplemental Extended Reporting Period starts.

- 4. Extended Reporting Periods do not extend the policy period or change the scope of coverage provided. They apply only to "claims" covered by this policy on a claims-made basis for "bodily injury" or "property damage" that occurs before the end of the policy period (but not before the "retroactive date" shown in the Declarations of this policy). "Claims" for such injury or damage which are first received and recorded during the Basic Extended Reporting Period of this policy (or during the Supplemental Extended Reporting Period of this policy, if it is in effect) will be deemed to have been made on the last day of the policy period of this policy, without regard to any "underlying insurance" policy's Extended Reporting Periods.

Once in effect, Extended Reporting Periods may not be cancelled unless "underlying insurance" is not maintained.

- 5. Extended Reporting Periods do not reinstate or increase the Limits of Liability applicable to any "claim" to which this policy applies, except to the extent described in paragraph 6. of this section.
- 6. If the Supplemental Extended Reporting Period is in effect, we will provide a separate policy "aggregate limit" of liability. But this applies only for "claims" first received and recorded during the Supplemental Extended Reporting Period.

SECTION VII - DEFINITIONS

- 1. "Advertisement" means a notice that is broadcast or published to the general public or specific market segments about your goods, products or services for the purpose of attracting customers or supporters.
- 2. "Aircraft" means any heavier-than-air or lighter-than-air vehicle designed to travel principally in the air to transport persons or property. "Aircraft" does not mean hovercraft. "Aircraft" also includes any vehicle or device specifically designed to travel or use outside the earth's atmosphere.
- 3. "Aggregate limit" means the maximum amount stated in the policy for which the insurer will be liable, regardless of the number of covered "claims."
- 4. "Auto" means a land motor vehicle, trailer or semi-trailer designed for travel on public roads, including attached machinery or equipment. However, "auto" does not include "mobile equipment."
- 5. "Automobile hazard" means liability arising out of the ownership, maintenance, operation, use or "loading or unloading" of any "auto."

6. "Bodily injury" means bodily injury, sickness or disease sustained by a person, and includes death from any of these at any time.
7. "Claims" means:
 - a. Any demand upon the insured for damages; or
 - b. The service of "suit" papers or arbitration proceedings alleging liability of the insured due to an "occurrence" or "offense" which may or may not be covered by this policy. "Claim" does not include reports of accidents, or "occurrences," or any acts, errors, "offenses" or omissions which may give rise to a "claim."
8. "Coverage territory" means anywhere in the world if the insured's responsibility to pay damages is determined in a "suit" on the merits in the United States of America (including its territories and possessions), Puerto Rico, Canada, or in a settlement we agree to.
9. "Employee" includes a "leased worker." "Employee" does not include a "temporary worker."
10. "Executive officer" means a person holding any of the officer positions created by your charter, constitution, by-laws or any similar governing document. "Executive officer" includes any other officer of the corporation.
11. "Hostile fire" means a fire which becomes uncontrollable or breaks out from where it was intended to be.
12. "Impaired property" means tangible property, other than "your product" or "your work," that cannot be used or is less useful because:
 - a. It incorporates "your product" or "your work" that is known or thought to be defective, deficient, inadequate or dangerous; or
 - b. You have failed to fulfill the terms of a contract or agreement.;

if such property can be restored to use by:

- a. The repair, replacement, adjustment or removal of "your product" or "your work"; or
- b. Your fulfilling the term of the contract or agreement.

13. "Insured contract" means:
 - a. A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire to the premises while rented to you or temporarily occupied by you with permission of the owner is not an "insured contract";
 - b. A sidetrack agreement;
 - c. Any easement or license agreement in connection with vehicle or pedestrian private railroad crossings at grade; or
 - d. Any other easement agreement, except in connection with construction or demolition operations on or within 50 feet of a railroad;
 - e. An obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;
 - f. An elevator maintenance contract; or
 - g. That part of any other contract or agreement pertaining to your business under which you assume the tort liability of another to pay damages because of "bodily injury" or "property damage" to a third person or organization, if the contract or agreement is made prior to the "bodily injury" or "property damage." Tort liability means a liability that would be imposed by law in the absence of any contract or agreement.

An "insured contract" does not include that part of any contract or agreement:

- a. That indemnifies an architect, engineer or surveyor for injury or damage arising out of:
 - (1) preparing, approving or failing to approve maps, shop drawings, opinions, reports, surveys, change orders, field orders, designs or specifications; or
 - (2) giving directions or instructions, or failing to give them, if that is the primary cause of injury or damage.
- b. Under which the insured, if an architect, engineer or surveyor, assumes liability for injury or damage arising out of the insured's rendering or failing to render professional services, including but not limited to those listed in a. above and supervisory, inspection or engineering services; or
- c. That indemnifies a person or organization for damage by fire to premises rented to you, loaned to you or temporarily occupied by you.
- d. That indemnifies a railroad for "bodily injury" or "property damage" arising out of demolition operations, within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, road beds, tunnel, underpass or crossing.

14. "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker."
15. "Limited liability company" means an entity formed under the laws of the state wherein the Named Insured shown in Item 1. of the Declarations is located and that is characterized as a "limited liability company" by such laws.
16. "Loading or unloading" means the handling of property:
- a. After it is moved from the place where it is accepted for movement into or onto an "aircraft," "watercraft" or "auto";
 - b. While it is in or on an "aircraft," "watercraft" or "auto"; or
 - c. While it is being moved from an "aircraft," "watercraft" or "auto" to the place it is finally delivered.
17. "Mobile equipment" means any of the following types of land vehicles, including any attached machinery or equipment:
- a. Bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;
 - b. Vehicles maintained for use solely on or next to premises you own or rent;
 - c. Vehicles that travel on crawler treads;
 - d. Vehicles, whether self-propelled or not, on which is permanently mounted:
 - (1) Power cranes, shovels, loaders, diggers or drills; or
 - (2) Road construction or resurfacing equipment such as graders, scrapers or rollers.
 - e. Vehicle not described in a., b., c. or d. above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:
 - (1) Air compressors, pumps and generators, including spraying, welding, building cleaning, geographical exploration, lighting and well servicing equipment; or
 - (2) Cherry pickers and similar devices used to lift workers to heights;
 - f. Vehicles not described in a., b., c. or d. above maintained primarily for purposes other than the transportation of persons or cargo.

However, self-propelled vehicles with the following types of permanently attached equipment are not "mobile equipment" but will be considered "autos":

- a. Equipment designed primarily for:
 - (1) Snow removal;
 - (2) Road maintenance, but not construction or resurfacing;
 - (3) Street cleaning.
 - b. Cherry pickers and similar devices mounted on automobile chassis and used to raise or lower workers; and
 - c. Air compressors, pumps and generators, including spraying, welding, building cleaning, geographical exploration, lighting and well servicing equipment.
18. "Occurrence" means:
- a. With respect to "bodily injury" and "property damage" liability, an accident, including continuous or repeated exposure to substantially the same general harmful conditions;
 - b. With respect to employees of the Named Insured, "bodily injury" caused by accident or disease.
 - c. With respect to "personal and advertising injury" liability, an "offense" sustained by any one person or organization; or
 - d. With respect to other underlying coverages scheduled in Item 4. Underlying Insurance on the Declarations not otherwise addressed, follows the definition of occurrence or event set forth in the respective underlying coverage form.
19. "Offense" means any of the offenses included in the definitions of "advertising injury" or "personal injury."
20. "Personal and advertising injury" means injury, including consequential "bodily injury", arising out of one or more of the following "offenses":
- a. False arrest, detention or imprisonment;
 - b. Malicious prosecution;
 - c. The wrongful eviction from, wrongful entry into, or invasion of the right of private occupancy of a room, dwelling or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor;
 - d. Oral or written publication of material that slanders or libels a person or organization or disparages a person's or organization's goods, products or services;
 - e. Oral or written publication of material that violates a person's right to privacy;

- f. The use of another's advertising idea in your "advertisement"; or
 - g. Infringing upon another's copyright, trade dress or slogan in your "advertisement".
21. "Pollutants" mean any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.
22. "Prejudgment interest" means interest added to a settlement, verdict, award or judgment based on the amount of time prior to the settlement, verdict, award or judgment whether or not made part of the settlement, verdict, award or judgment.
23. "Professional service" means the work, assistance, information or advice performed or provided to another which is based on a recognized body of specialized knowledge or expertise.
24. "Products-completed operations hazard":
- a. "Products-completed operations hazard" includes "bodily injury" or "property damage" occurring away from premises you own or rent and caused by or arising out of "your product" or "your work" except:
 - (1) Products that are still in your physical possession; or
 - (2) Work that has not yet been completed or abandoned.
 - b. "Your work" will be deemed completed at the earliest of the following times:
 - (1) When all work called for in your contract has been completed;
 - (2) When all of the work to be done at the site has been completed if your contract calls for work at more than one site; or
 - (3) When that part of the work done at a job site has been put to its intended use by any person or organization other than another contractor or subcontractor working on the same project.

Work that may need service, maintenance, correction, repair or replacement, but which is otherwise complete, will be treated as completed.

- c. This hazard does not include "bodily injury" or "property damage" caused by or arising out of:
 - (1) The transportation of property, unless the injury or damage arises out of a condition in or on a vehicle created by the "loading or unloading" of it;
 - (2) The existence of tools, uninstalled equipment or abandoned or unused materials.
25. "Property damage" means:
- a. Physical injury to tangible property, including all resulting loss of use of that property; or
 - b. Loss of use of tangible property that is not physically injured or destroyed.
26. "Retained limit" means the greater of :
- a. That amount of "underlying insurance" applicable to a "claim" or "suit," whether such "underlying insurance" is collectible or not; or
 - b. The amount of "self-insured retention" as shown in Item 3.E. of the Declarations of this policy for "claims" or "suits" not covered by applicable "underlying insurance."
27. "Retroactive date" means the retroactive date stated in the Declarations of this policy or the "retroactive date" of the applicable "Underlying Insurance" listed in item 4. of the Declarations, which ever is later.
28. "Self-insured retention" means the dollar amount listed in the Declarations that will be paid by the insured before this insurance becomes applicable to "occurrences" or "offenses" not covered by the "underlying insurance."
29. "Suit" means a civil proceeding in which damages because of "bodily injury," "property damage," or "personal and advertising injury" to which this insurance applies are alleged. "Suit" includes any arbitration proceeding alleging such damages to which you must submit or submit with our consent, or any other alternative resolution proceedings in which damages are claimed and to which you submit with our consent.
30. "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.
31. "Ultimate net loss" means the total amount of damages for which the insured is legally liable in payment for "bodily injury," "property damage" or "personal and advertising injury." "Ultimate net loss" may be established by adjudication, arbitration or a compromise settlement to which we have previously agreed in writing. "Ultimate net loss" shall be reduced by any recoveries or salvages which have been paid or will be collected, but the amount of "ultimate net loss" shall not include any expenses incurred by any insured, by us, or by any "underlying insurer."
32. "Underlying insurance" means coverage(s) afforded under insurance policies designated in Item 4. of the Declarations of this policy and any renewals or replacements of such policies. "Underlying insurance" also includes any other insurance available to the insured, except such insurance as may be purchased to apply specifically in excess of this policy.
33. "Underlying insurer" means a company issuing a policy of "underlying insurance."

- 34.** "Watercraft" means a vehicle designed to travel principally on or under water. "Watercraft" includes hovercraft.
- 35.** "Your product" means:
- a.** Any goods or products, other than real property, manufactured, sold, handled, distributed or disposed of by:
 - (1)** You;
 - (2)** Others trading under your name; or
 - (3)** A person or organization whose business or assets you have acquired; and
 - b.** Containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or products.

"Your product" includes warranties or representations made at any time with respect to fitness, quality, durability or performance of any of the items in a. or b. above.

"Your product" does not include vending machines or other property rented to or located for use of others but not sold.

- 36.** "Your work" means:
- a.** Work or operations performed by you or on your behalf; and
 - b.** Materials, parts or equipment furnished in connection with such work or operations.

"Your work" includes:

- a.** Warranties or representations made at any time with respect to the fitness, quality, durability or performance of any of the items included in a. or b. above; and
- a.** The providing of or failure to provide warnings or instructions.